CASCADIA ANALYTICS

INVESTMENT SCORECARD

LRCX

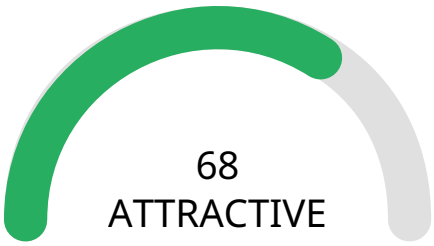
Lam Research Corp (NASDAQ)

As-of: 16-Oct-2026 | Latest Filing: Q4 FY26 (10-K) | Currency: USD

$263.94 [Mkt 16-Oct-26]

Market Cap: $330.3B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution.

2. Recent Trend — 88

Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.

3. Forward Growth — 85

WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.

4. Valuation — 28

Market prices in 33.8% revenue CAGR, nearly double our 17% bull case. DCF base of $147 implies 44% downside. Euphoric.

5. Catalysts & Risk — 60

Earnings in 5 days are the near-term test. WFE tailwinds are real, but cyclical equipment at peak multiples is fragile. Balanced with downside skew.

Investment Thesis

- **Etch Dominance:** Lam is the undisputed leader in memory etch for 3D NAND (300+ layers). Gross margin of 51.7% [10-Q Q4 FY26] and operating margin of 37.4% reflect pricing power.
- **AI Capex Tailwind:** WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth.

- **Price Defies Math:** At $264 [Mkt 16-Oct-26], the market implies 33.8% revenue CAGR for six years. Our $152 base case implies 42% downside. Great company, untenable price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q4 FY26)	$6.72B [10-Q Q4 FY26]	+30.0% [10-Q Q4 FY26]	Up
Gross Margin	51.7% [10-Q Q4 FY26]	+1.9 pts [10-Q Q4 FY26]	Up
Operating Margin	37.4% [10-Q Q4 FY26]	+3.7 pts [10-Q Q4 FY26]	Up
EPS (non-GAAP)	$1.82 [10-Q Q4 FY26]	Beat by 7.7% [Cons]	Up
CSBG Revenue	$2.47B [10-Q Q4 FY26]	+17% QoQ [10-Q Q4 FY26]	Up
Cash	$5.58B [10-Q Q4 FY26]	n/a	Flat
Net Cash	$1.46B [10-Q Q4 FY26]	n/a	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	$17.4B [10-K FY22]	$17.4B [10-K FY23]	$14.9B [10-K FY24]	$18.4B [10-K FY25]	$23.2B [10-K FY26]
Gross Margin	46.1% [10-K FY22]	45.7% [10-K FY23]	47.5% [10-K FY24]	48.9% [10-K FY25]	51.7% [10-Q Q4 FY26]
Operating Margin	30.2% [10-K FY22]	29.1% [10-K FY23]	27.8% [10-K FY24]	31.5% [10-K FY25]	37.4% [10-Q Q4 FY26]

Valuation

Absolute (2/10)

P/E (fwd) 22.4x [Mkt 16-Oct-26]
DCF Base $152 [Mkt 16-Oct-26]
FCF Yield ~3.5% [Mkt 16-Oct-26]

DCF math implies 42% downside even with generous growth assumptions.

Versus Peers (3/8)

AMAT 20x P/E [Peers 16-Oct-26]
KLAC 21x P/E [Peers 16-Oct-26]

LRCX trades at a premium to equipment peers without a commensurate ROIC edge.

Versus History (2/7)

Current multiples [Mkt 16-Oct-26]
near 5-year peaks

Trading at the top of its historical range, pricing in a permanent upcycle.

Catalyst Timeline

Oct 21, 2026 [Cons]
Q1 FY27 Earnings (Two-Sided): $8.31B revenue and $2.21 EPS consensus. Test of $8.1B guide.

2026-2027 [8-K guid]
Memory Capex (Positive): NAND layer scaling and HBM demand driving etch intensity.

Ongoing [8-K guid]
WFE Cycle (Two-Sided): $150B WFE in 2026 is a peak; any slowdown hits bookings.

Top Risk Factors (Item 1A)

1. WFE Cyclicality: WFE spending is cyclical; the $150B 2026 level may represent a peak, and any downturn would hit Lam's bookings hard. [10-K FY25]

2. Memory Concentration: Memory customers drive nearly half of systems revenue; a DRAM/NAND capex pause would disproportionately affect Lam. [10-K FY25]

What Would Change Our Score

A 30%+ pullback toward our $152 base case would neutralize the Valuation drag and likely lift the composite into the high-70s. Conversely, a WFE downturn or Q1 FY27 miss on Oct 21 would cut Forward Growth and Trend simultaneously.

3. China Export Controls: Export controls on advanced logic and memory tools for China restrict a meaningful end market. [10-K FY25]

Forward Growth Drivers

- Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic [8-K guid]
- Memory systems: NAND revenues doubled sequentially on 256+ layer migration [8-K guid]
- CSBG at $2.1B quarterly run rate, margin-accretive recurring revenue [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used operating margin and ROE qualitatively in Pillar 1.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.